



VA FINANCING · FLORIDA PANHANDLE + COASTAL ALABAMA

The rate is only the start.

The equity gap, remaining term and approvals behind a VA assumption.

THE CLIENT COLLECTION · SEPTEMBER 2026

Gregg Costin

Practical guidance for your next real estate decision.

(850) 266-5005 · PensacolaMilitaryHousing.com

13

THE TWO-MINUTE ORIENTATION

What matters. Where to find it.

THE SHORT ANSWER

A VA assumption lets an approved buyer take over an existing VA loan under its remaining terms, subject to the applicable approval process. Evaluate the equity gap, cash needs, servicer timeline, seller release of liability, and entitlement treatment before treating a low existing rate as a complete deal.

- 1

Compare

Use the remaining balance and remaining term.
- 2

Fund

Identify the equity gap and closing funds.
- 3

Protect

Resolve liability and entitlement separately.

INSIDE THIS GUIDE

Understand what continues	3
Calculate the equity gap	4
Compare the remaining payment fairly	6
Protect the seller in two separate ways	7
Build the timeline around the servicer	8
Questions to resolve before proceeding	9
Sources and scope	10
Your next step	11

Use this with your team

Official figures carry sources and dates. Worked examples are hypothetical, not current quotes or promises of approval. Your signed contract, lender requirements, insurance policy and military orders control the actual transaction. Keep private documents in the responsible professional's secure channel.

01

Understand what continues

The existing balance and remaining term shape the opportunity.



Ask the current servicer for its assumption process, required documents and current review timeline. Do not rely on a listing’s “assumable” label as approval

of the buyer or transaction. The buyer must meet the applicable credit and financial requirements, and the required transfer process must be completed.

Information to obtain first

Loan fact / Why it matters

Current principal balance and payment Determines the debt being assumed	Interest rate and remaining term Defines the remaining amortization
Escrow, fees and account status Affects monthly payment and closing reconciliation	Servicer assumption package Sets the submission and approval process
Seller liability and entitlement plan Protects the seller’s obligations and future benefit	

KEEP IN MIND

Veteran status and assumption approval differ

An eligible non-veteran buyer may be able to assume a VA loan, subject to approval. Substituting entitlement requires a qualifying veteran buyer with sufficient entitlement and the required approval; it is not available merely because a buyer assumes the payments.

Sources reviewed 2026-09-06: [VA: Assumption entitlement acknowledgment, Form 26-10291](#) · [VA: Rights of VA loan borrowers, Form 26-8978](#)

02

Calculate the equity gap

The purchase price can be much larger than the remaining loan.

Hypothetical assumption purchase

Item / Amount

Negotiated purchase price		\$425,000
Existing principal to be assumed		\$285,000
Initial price-minus-balance equity gap		\$140,000
0.5% assumption funding fee on \$285,000, if not exempt		\$1,425
Other illustrative closing costs		\$4,500
Example total cash before deposits/credits		\$145,925

Bars start at zero. Values are the stated example inputs.

Sources reviewed 2026-09-06: [VA: Funding fee and closing costs](#) · [VA: Assumption entitlement acknowledgment, Form 26-10291](#)

02

Calculate the equity gap

CONTINUED

The exact payoff/assumption balance, escrow adjustments, fee treatment, credits and closing costs must come from the servicer and settlement statement. The equity gap is not automatically financed by the assumption.

If additional borrowing is proposed, confirm whether the servicer permits it, how it is secured, how it affects qualification, and what its payment and costs will be.

KEEP IN MIND

A low rate can require substantial liquidity

Compare the full cash commitment with a new-loan option and the reserves you need after closing. Do not empty an emergency fund simply to obtain an attractive interest rate.

YOUR WORKING NOTES · CONFIRM WITH THE RESPONSIBLE PROFESSIONAL

Your equity-gap worksheet

Contract price minus confirmed assumption balance:	Funding fee status / other costs / credits / deposits:
Verified cash source / additional financing approval:	

Sources reviewed 2026-09-06: [VA: Funding fee and closing costs](#) · [VA: Assumption entitlement acknowledgment, Form 26-10291](#)

03

Compare the remaining payment fairly

The term and cash invested must stay visible.

Illustrative principal-and-interest comparison

Scenario / Monthly P&I



Bars start at zero. Values are the stated example inputs.

These selected rates and terms are hypothetical, not quotes or a representation of an available assumption. They illustrate why both the rate and remaining term matter. The actual existing payment may differ because the loan’s original schedule, escrow, modifications or other terms must be reviewed.

For a real decision, compare options at the same purchase price and show the different cash requirements. Add any second-loan payment, taxes, insurance, flood coverage, association costs and reserve needs. A lower first-mortgage payment can be partly offset by expensive additional financing or a large cash investment.

KEEP IN MIND

Do not restart the clock on paper

An assumption normally continues the existing loan’s remaining terms. Comparing it with a new 30-year loan without identifying that difference can overstate monthly savings or obscure total interest.

Sources reviewed 2026-09-06: [VA: Assumption entitlement acknowledgment, Form 26-10291](#) · [VA: Funding fee and closing costs](#)

04 Protect the seller in two separate ways

Release of liability and entitlement are not interchangeable.



Seller protection

Protection	What it does	What it does not establish
Release of liability	Addresses the seller’s liability under the approved transfer	Does not by itself restore VA entitlement
Substitution/restoration of entitlement	Addresses whether the seller’s VA benefit is released or restored under applicable requirements	Does not replace a written liability release
Buyer payment arrangement	Describes who is expected to pay	Is not formal servicer approval or either protection above

VA Form 26-10291 specifically addresses assumption and entitlement acknowledgment. A seller whose entitlement remains tied to the assumed loan may have less entitlement available

for another purchase, and the consequences can persist beyond the closing. Discuss the next-home financing plan before accepting assumption terms.

Seller file before closing

- ☐ Written servicer approval of the assumption.
- ☐ Written entitlement substitution/restoration determination, or informed acknowledgment that entitlement remains tied up.
- ☐ Written release-of-liability documentation applicable to the transaction.
- ☐ A lender review of the seller’s next purchase if future VA financing is part of the plan.

KEEP IN MIND

Do not rely on “the buyer will refinance later”

A future refinance is a possibility, not a guarantee. The buyer’s income, credit, property value and rates can change.

Sources reviewed 2026-09-06: [VA: Assumption entitlement acknowledgment, Form 26-10291](#) · [VA: Rights of VA loan borrowers, Form 26-8978](#) · [VA: Entitlement and loan limits](#)

05 Build the timeline around the servicer

Use milestones and written status, not a promised universal closing time.



Assumption sequence

Milestone / Owner / evidence

01

Initial inquiry

Servicer confirms process, package and contacts

02

Contract

Agent/closing professional coordinates assumption terms and deadlines

03

Complete submission

Buyer supplies required credit, income, asset and transaction records

04

Review and conditions

Servicer identifies missing items and qualification conditions

05

Approval and seller protections

Written assumption, liability and entitlement decisions

06

Closing coordination

Servicer, title/closing office, insurance and parties align documents

07

Post-closing verification

Confirm account transfer, payments and retained records

Ask when the servicer considers the package complete, how status is obtained, how long its current queue is, and what triggers additional review. Confirm rate-lock or other costs for any separate financing. Keep the seller's loan current throughout the process and have the closing professional reconcile payments and escrow.

KEEP IN MIND

Use a contract that matches the uncertainty

Discuss extension rights, deposits, financing contingencies, required cooperation, and remedies with the agent and closing attorney. Do not assume the timeline of a standard new mortgage applies.

Sources reviewed 2026-09-06: [VA: Assumption entitlement acknowledgment, Form 26-10291](#) · [VA: Rights of VA loan borrowers, Form 26-8978](#)

06

Questions to resolve before proceeding

Use this as a joint buyer, seller and servicer agenda.



Frequent questions

Question	Practical answer
Can the buyer simply start making payments?	That does not establish an approved assumption or seller release.
Is the funding fee always due?	VA lists 0.5% for assumptions; confirm any applicable exemption and treatment.
Does the seller keep the same entitlement available?	Not necessarily. Verify substitution/restoration in writing.
Can the equity gap be financed?	Only if permitted and approved; compare the added payment and terms.
How long does it take?	Use the actual servicer’s current process and your complete - file milestones.

YOUR WORKING NOTES · CONFIRM WITH THE RESPONSIBLE PROFESSIONAL

Your assumption decision

Servicer contact / package complete date:	Cash needed / verified source / reserve remaining:
Release of liability / entitlement decision:	Closing target / extension and backup plan:

KEEP IN MIND

A useful assumption is a complete transaction

The strongest opportunity combines acceptable cash needs, sustainable ownership costs, realistic timing, approved documents, and informed seller protection.

Sources reviewed 2026-09-06: [VA: Funding fee and closing costs](#) · [VA: Assumption entitlement acknowledgment, Form 26-10291](#) · [VA: Rights of VA loan borrowers, Form 26-8978](#)

FOLLOW THE EVIDENCE

The original guidance.

Consult the source before relying on a changing amount, deadline, policy or contact. Source review: 2026-09-06.

01

VA: Assumption entitlement acknowledgment, Form 26-10291

<https://www.vba.va.gov/pubs/forms/VBA-26-10291-ARE.pdf>

02

VA: Rights of VA loan borrowers, Form 26-8978

<https://www.vba.va.gov/pubs/forms/26-8978.pdf>

03

VA: Funding fee and closing costs

<https://www.va.gov/housing-assistance/home-loans/funding-fee-and-closing-costs/>

04

VA: Entitlement and loan limits

<https://www.va.gov/housing-assistance/home-loans/loan-limits/>

Apply the rule to your situation

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Gregg Costin

REALTOR® · Licensed in Florida & Alabama

Coastal expertise. Personal attention.

From waterfront homes and first purchases to complex military moves, I bring disciplined planning, clear advice and skilled negotiation to one of your most consequential decisions.

RECOGNITION

2025 Rookie of the Year

Levin Rinke Realty / Forbes Global Properties

Retired U.S. Air Force Captain · E-3 AWACS Combat Systems Officer · Prior-enlisted Staff Sergeant

20 years of military service. 11 personal PCS moves.

\$25M+

Transaction volume

60+

Families helped
in the past year

99.89%

List-to-price ratio
Seller clients

8.1%

Average price reduction
Buyer clients

Credentials behind the guidance.

ABR® Accredited Buyer's Representative

RENE® Real Estate Negotiation Expert

MRP® Military Relocation Professional

MCA® MORE Certified Agent

SRS® Seller Representative Specialist

HFR® Home Finance Resource

FMS® Florida Military Specialist

FAA Part 107 Certified

Let's plan your next move.

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Performance figures provided by Gregg Costin, September 6, 2026.

Credentials & recognition: [Brokerage profile](#) · [Biography](#) · Reviewed September 6, 2026. [All contact links](#).

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